WAVERLEY GATEWAY GUIDE

Connecting International Capital

CUBA

Caribbean

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Havana	Capital and commercial centre, home to the largest concentration of Cuba's more than 15,000 private small and medium-sized enterprises	Private-sector partnerships, food distribution, real estate under long-term usufruct
Mariel Special Development Zone (Artemisa)	Flagship investment zone created in 2013, with 64 approved projects and $3.2 billion in committed capital by end-2023; its container terminal was designated by the US in July 2026	Light manufacturing, logistics, pharmaceuticals and import substitution, subject to careful counterparty screening
Varadero and the north-coast resorts	Historic core of the international tourism industry, with foreign hotel groups long active through management contracts	Hospitality, food supply, services to private tourism businesses
Holguín / Moa (east)	Centre of nickel and cobalt mining, a leading export earner; metals and mining is a designated sector under the 2026 US sanctions order	Mining and processing, for investors with full sanctions clearance only
Agricultural land nationwide	A 2026 decree extends long-term usufruct rights over private and state land, opening agriculture to longer investment horizons	Agri-food production, food processing, import substitution
Private enterprise sector (nationwide)	Private firms now employ more than a third of the workforce and dominate food and fuel distribution, and may partner directly with foreign capital since September 2026	Consumer goods, distribution, light industry, services

INVESTOR ENTRY ROUTES

- Foreign Investment Law (Law 118 of 2014), administered by the Ministry of Foreign Trade and Foreign Investment (MINCEX), with joint ventures and contracts with state entities as the established routes
- June 2026 reform package of 176 measures, implemented from September 2026: private Cuban companies may partner directly with foreign investors, hold overseas bank accounts and import and export without state intermediaries
- Mariel Special Development Zone (Decree-Law 313 of 2013), offering tax exemptions and dedicated port, rail and utility infrastructure
- Long-term usufruct rights for real estate, industrial and agricultural projects, alongside new scope for foreigners to invest in Cuban real estate

- Sectors opened to private participation in July 2026, including fuel stations, pharmacies, ports and banks, and removal of the requirement to hire Cuban staff through state employment agencies
- Currency and repatriation: the peso trades at multiple rates (around 700 to the dollar informally in September 2026) and hard-currency availability is limited, so offshore revenue and payment structures are central to project design
- Compliance-led entry: all structures need screening under the US CACR, the Cuba Restricted List and the 2026 Cuba Sanctions Regulations, and EU operators must also observe the EU Blocking Regulation

MARKET-ENTRY OBSERVATION

Cuba in October 2026 is undertaking its most far-reaching economic opening in decades. President Miguel Díaz-Canel announced 176 pro-market reforms on 12 June 2026, Parliament approved them swiftly, and implementing decrees began to take effect in early September: private companies, including firms with more than 100 employees, can now partner directly with foreign investors, hold accounts abroad and trade internationally without state intermediaries, while banks, pharmacies, fuel stations and ports have been opened to private participation and long-term usufruct rights support real-estate, industrial and agricultural projects. These changes build on a private sector of more than 15,000 small and medium-sized enterprises that already employ over a third of the workforce. The macroeconomic starting point is challenging: ECLAC estimates GDP contracted 3.8% in 2025 and projects a further 6.5% decline in 2026, and official year-on-year inflation stood at 25.2% in August 2026, giving early movers the opportunity to enter at a low valuation base.

Cuba's main structural challenge is the combination of an energy and foreign-exchange shortage with a tightening US sanctions environment. Fuel shortages since the January 2026 US measures against oil suppliers have caused repeated nationwide blackouts, the most recent on 18 September, and international visitor arrivals fell 64.4% to 450,353 in January–August 2026 as Canadian airlines suspended flights. In parallel, Executive Order 14404 of 1 May 2026 introduced the first US secondary sanctions on Cuba, the Cuba Sanctions Regulations took effect on 30 September 2026, and the US Supreme Court's 2026 rulings have strengthened Title III property claims. The government's response is to widen the role of private and foreign capital, which creates real openings in agri-food, consumer distribution and light manufacturing for non-US investors operating lawfully, while positioning prepared investors for any future change in US policy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
US embargo (Cuban Assets Control Regulations)	US persons, and entities they own or control, remain broadly prohibited from investing in or trading with Cuba except under OFAC licences; the CACR were tightened again on 30 September 2026	Non-US investors should confirm no US persons, US-origin content or US dollar clearing are involved, with sanctions counsel in each relevant jurisdiction
US secondary sanctions (Executive Order 14404)	Since May 2026 the US may designate non-US persons active in Cuba's energy, defence, metals and mining, financial services or security sectors, and foreign banks facilitating significant transactions for blocked persons	Focus on non-designated sectors such as agri-food and consumer goods; screen all counterparties, including the 50% ownership rule, before any commitment
Title III of the Helms-Burton Act	Suits over confiscated property have been permitted since 2019, and 2026 Supreme Court rulings removed sovereign immunity as a defence for Cuban state firms and revived $440 million in judgments against cruise lines	Conduct title due diligence on any property or asset before investing; claim-free private-sector and greenfield projects reduce exposure
Cuba Restricted List and State Sponsor of Terrorism designation	Both were reinstated on 20 January 2025; since September 2026 US banks may not process even indirect transactions involving listed entities, encouraging bank de-risking	Establish payment channels through banks comfortable with Cuba business before signing contracts, and avoid all listed entities and GAESA affiliates
EU Blocking Regulation	EU operators may not comply with the listed US measures (Helms-Burton, the Cuban Democracy Act and the CACR),	Take combined EU and US advice so that business decisions are documented on commercial grounds; monitor any update

Issue	Potential Impact	Possible Mitigation
	while EO 14404 had not been added to the annex as of May 2026	to the annex
Energy supply and foreign exchange	Fuel shortages have caused at least seven nationwide blackouts in 2026, and limited hard currency complicates imports and profit repatriation	Build in on-site power, offshore revenue accounts and export-earning structures, now permitted for private Cuban partners
Tourism downturn and hotel exits	Visitor arrivals fell 64.4% in January–August 2026, and seven foreign hotel groups managing 46% of rooms have withdrawn	Low entry valuations favour patient investors positioned for recovery once air links and fuel supply normalise

INVESTOR RISK NOTE

Cuba combines a genuine and accelerating domestic opening with one of the most restrictive external legal environments of any market. The 2026 reforms allow foreign investors to work directly with a dynamic private sector, use long-term usufruct and access previously closed sectors, and the scale of the current downturn means assets and partnerships can be secured at a low base. Investors must, however, treat the legal position as the starting point: the US embargo under the CACR continues to bar most US involvement; Executive Order 14404 and the Cuba Sanctions Regulations now expose non-US companies and banks to secondary sanctions in key sectors; the Cuba Restricted List and State Sponsor of Terrorism designation drive bank de-risking; and Title III litigation risk has risen after the 2026 Supreme Court rulings. EU and UK operators must also reconcile US rules with blocking legislation that prohibits compliance with listed US measures. The prudent approach is to take specialist sanctions counsel in every relevant jurisdiction, confine activity to lawful, non-designated sectors and screened private-sector partners, and use this period to prepare well-documented plans for any future easing of US policy. Nothing in this guide suggests ways to avoid sanctions.

MARKET ACCESS

Cuba is a founding member of the WTO and belongs to the Latin American Integration Association (ALADI) and the ALBA-TCP alliance, has a trade and economic cooperation agreement with CARICOM, and has a Political Dialogue and Cooperation Agreement with the European Union. Its principal exports include nickel and cobalt, tobacco and cigars, rum, sugar, pharmaceuticals and professional services, although overseas medical missions and nickel interests have been targeted by US designations in 2026. The Mariel container terminal, with initial capacity of 800,000 TEUs expandable to 3 million and dredged for Neo-Panamax vessels in 2023, gives Cuba a deep-water Caribbean logistics platform, although its US designation in July 2026 requires careful screening by shippers and lenders. Proximity to the US market remains Cuba's largest latent advantage, unavailable under current US law but central to any future normalisation scenario.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Miguel Díaz-Canel)	Announced the June 2026 reform package and sets the pace and limits of the economic opening	Primary reference point for the direction and durability of reforms
Ministry of Foreign Trade and Foreign Investment (MINCEX)	Approves foreign investment under Law 118 and publishes the portfolio of investment opportunities	Standard first point of contact for entry routes, approvals and partner identification
Mariel Special Development Zone Office	Administers the flagship zone, its incentives and approvals for zone users	Relevant for manufacturing and logistics projects, subject to screening of zone counterparties
Banco Central de Cuba	Monetary authority overseeing the multiple exchange rates and the newly opened private banking activity	Key for currency, repatriation and payment-structure questions
GAESA (military business conglomerate)	Estimated to control most of the Cuban economy sanctioned by the US since 2020	Essential screening reference: map ownership chains to avoid any GAESA-

Actor	Why It Matters	Waverley Engagement Angle
	and designated again under the 2026 order	linked counterparty
Private small and medium-sized enterprises	More than 15,000 firms employing over a third of the workforce, now able to partner directly with foreign capital	Most promising partners for lawful, non-designated-sector ventures, after due diligence
Cámara de Comercio de la República de Cuba	National chamber of commerce linking foreign firms with Cuban exporters and enterprises	Useful channel for trade introductions and market intelligence

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Cámara de Comercio de la República de Cuba and MINCEX are the principal official channels, and the annual Havana International Fair (FIHAV) has traditionally been the main venue for trade and investment introductions. The commercial sections of Spanish, Canadian, Mexican, Chinese and other EU embassies, together with bilateral business associations, remain the best sources of practical intelligence on doing business under the current reforms and sanctions regime. Cuba is not a member of the IMF or World Bank, so multilateral development finance is limited, and investors should rely instead on bilateral export-credit support where available. Specialist law firms in the US, EU, UK and Canada have issued detailed guidance on the 2026 US measures and are an essential part of any engagement network.

INVESTOR PROFILE BEST SUITED

Cuba currently suits experienced, patient non-US investors with strong compliance functions and no material US nexus: agri-food and food-processing investors able to use the new long-term land usufruct; consumer-goods, distribution and light-manufacturing investors partnering with the expanding private sector; and diaspora and Latin American, European and Canadian investors with established Cuban relationships. Investors in energy, mining, finance or tourism assets should recognise the heightened US secondary-sanctions and Title III exposure in those areas, while US investors should limit activity to what OFAC licences permit and focus on preparing for any future change in policy.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Take multi-jurisdiction sanctions advice before any commitment
Engage counsel covering US (CACR, Cuba Sanctions Regulations, Title III) and EU, UK or Canadian blocking rules to confirm what is lawful for your group and its banks.

STEP 2: Screen every counterparty and asset
Check partners against the SDN List, the Cuba Restricted List and GAESA ownership chains, applying the 50% rule, and run title checks for confiscated-property claims.

STEP 3: Secure payment and banking channels early
Confirm with your banks which Cuba-related flows they will process, given the end of US U-turn authorisations and wider de-risking.

STEP 4: Prioritise lawful private-sector partnerships
Use the September 2026 reforms to partner directly with screened private enterprises in non-designated sectors such as agri-food, consumer goods and light manufacturing, with offshore revenue structures and on-site power.

STEP 5: Prepare for policy change
Monitor US and Cuban policy developments closely and keep documented scenario plans so you can act quickly and lawfully if US restrictions are eased.